IRAN–HORMUZ WAR & US ECONOMIC SHOCK MONITOR

Daily edition · 10 Jul 2026 intraday · Bloomberg · Singapore 10 Jul AM update

HEADLINE JUDGMENT

Note: 10 Jul figures are intraday prints; 9 Jul is now a final close ($76.20 Brent). Bloomberg's restated continuation series (front-month CO2/CL2) in force; two gasoline series tracked (AUTMUSAG / AAA pump — score reference; USRFRUSA / DOE spot — corroboration); JGLA / Asia LNG now pulled fresh each edition (correcting a prior stale carry). **Score rises to 23/30 (from 22) — deeper into the CRISIS band — as maritime denial upgrades 4→5 on an effective strait re-closure, while escalation holds at 5 amid an intensifying two-way conflict.** The escalation did not fade: the US struck Iran for a **second straight night** (9 Jul; an "additional round" after the 8 Jul strikes on 80+ sites), **Iran retaliated with eight missiles at a US base in Jordan** (intercepted), Trump warned of "much worse," and the MoU is "collapsing" with talks stalled. **Maritime 4→5:** strait traffic came to a "near standstill" (Bloomberg) — the US-backed Omani corridor empty, only a few vessels on the Iran-controlled lane. **The defining feature is a divergence:** the geopolitical/operational crisis is intensifying (two-way strikes, a base attack, an effective re-closure), yet the financial markets are consolidating. Brent came OFF its high to ~$76 (+$3.6, premium down from ~$6); **MOVE fell back to 68.89 — the Treasury →5 vol leg receded**; VIX eased to 15.84; 5Y5Y slipped below 2.20%. The market treats the strikes as degrading Iran / contained, and the OPEC+ glut plus alternative pipelines (Saudi Red Sea, UAE Fujairah) buffer the supply hit — so oil holds 2 (below $95), Treasury holds 4, US-inflation 3. Asia LNG kept climbing (¥2,834, +70%); AAA gasoline ticked up to $4.44 (political 4). The physical crisis is the most severe since the active-war phase; the swing is full war vs. a mediated pause. Sequencing 21 → 22 → 23.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

10 Jul 2026 readings are intraday prints; 9 Jul and earlier are final closes (restated continuation series; front-month CO2/CL2). d/d deltas are 10 Jul intraday vs 9 Jul close; w/w deltas are vs 3 Jul close.

Benchmark	Intraday 10 Jul	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	$76.10 /bbl	–$0.10 (+$3.78 w/w)	from $72.48 (+5.0%) — off the $78+ high; ~$3.6/bbl premium (oil holds 2; >$95 needed for 3)	CO2 Comdty
Brent · 9 Jul close (carried)	$76.20 /bbl (vs $78.34 intraday I reported)	came off the high $2.14 into the close as the market consolidated		CO2 Comdty (Close)
WTI front-month	$71.83 /bbl	–$0.07 (+$3.18 vs 2 Jul)	from $67.02 (+7.2%) — low $70s	CL2 Comdty
Brent–WTI spread	$4.27 /bbl	–$0.03 d/d	wide	derived
Henry Hub natural gas	$3.01 /MMBtu	flat (–$0.18 w/w)	from $3.06 (–1.5%) — US gas FELL (domestic/storage); not Hormuz-exposed	NGA Comdty
TTF Dutch gas (active)	€48.80 /MWh	–€1.30 (+€3.70 w/w)	from €31.23 (+56.3%) — off the €50 high but elevated on the strait re-closure	TZTA Comdty
Japan/Asia LNG (9 Jul close)	¥2,834	+¥56 d/d	from ¥1,669 (+69.8%) — still climbing on the strait re-closure and the Qatari LNG-tanker (Al-Rekayyat) attack	JGLA Comdty
US strikes · 2nd night	CENTCOM struck Iran again on 9 Jul (after 80+ sites on 8 Jul); Iran fired 8 missiles at a US base in Jordan (intercepted). The MoU is "collapsing."			CENTCOM / RFE-RL
EIA June STEO (9 Jun)	Brent ~$105/b Jun–Jul assumed a closed strait — the gap has narrowed sharply as the strait effectively re-closes			EIA STEO

US Treasuries and inflation expectations — Bloomberg

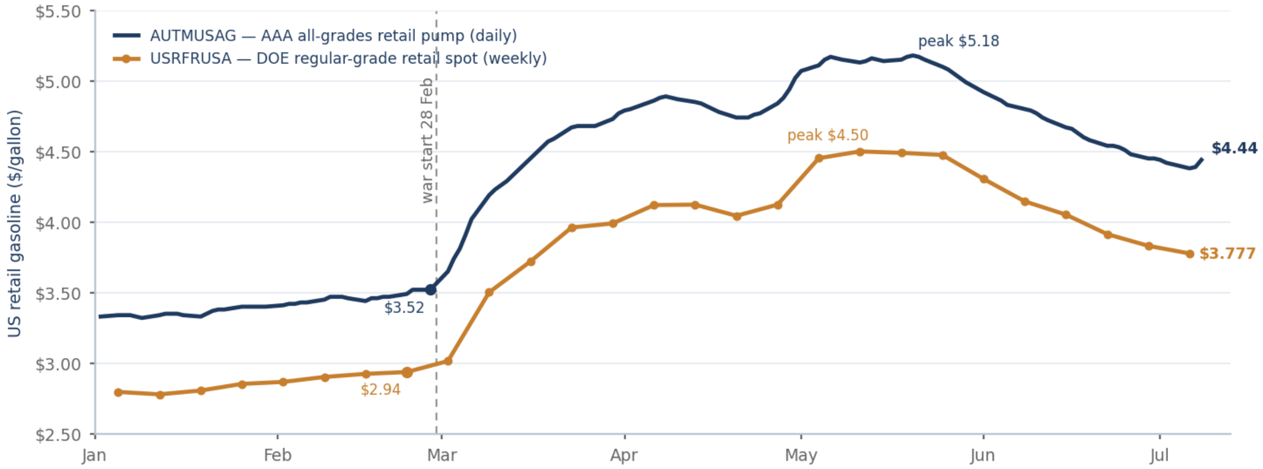
10 Jul 2026 yields are intraday. d/d deltas are 10 Jul intraday vs 9 Jul close; w/w deltas are vs 3 Jul close. The long end holds above 5.00% but eased slightly, and — tellingly — bond vol and forward inflation FELL back even as the conflict intensified.

Tenor	Yield (%) — intraday 10 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.17	–0.8	+3.1	+79 (from 3.37%) — hawkish-FOMC level	USGG2YR Index
5-year UST	4.27	–0.9	+4.4	+77 (from 3.50%)	USGG5YR Index
10-year UST	4.55	–0.6	+6.2	+61 (from 3.94%) — 10 bp below the 4.65% trigger	USGG10YR Index
30-year UST	5.06	–0.7	+7.2	+45 (from 4.61%) — holds above 5.00%, eased slightly	USGG30YR Index
2s10s spread	+37 bp	+0.4	+3.1	–18 (steepest of the series)	USYC2Y10 Index
10Y breakeven inflation	2.25	+0.0	—	–1 (from 2.257%) — near pre-war	USGGBE10 Index
5Y5Y forward inflation	2.18	+0.4	–2.1	+4 (from 2.14%) — stays below the 2.20% line (growth-negative read); US-inflation 3	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	∆ vs pre-war	Interpretation
DXY (dollar index)	100.80	10 Jul intraday	+3.19 (from 97.61)	Around 100.8, easing slightly — no flight-to-dollar despite the strikes. Firm on the hawkish FOMC; no Stage-4 break.
MOVE Index (bond vol)	68.89	9 Jul (lagged)	–4.49 (from 73.38)	FELL back from 72.41 — the Treasury →5 vol leg (MOVE >75) has receded even as the conflict intensified. Far below the 130 Stage-4 level.
VIX (equity vol)	15.84	9 Jul (lagged)	–4.02 (from 19.86)	Eased to ~16 — equities are pricing containment, not a broad risk event, despite the two-way strikes.
Gasoline · AUTMUSAG (AAA, all-grades pump) — score reference	$4.44 /gal	8 Jul (latest)	+$0.92 (from $3.52, +26%)	The political-stress reference (pre-war $3.52, peak $5.18). Ticked UP from $4.38 — the crude rally is feeding the pump. Still below the $4.75 threshold.
Gasoline · USRFRUSA (DOE, regular-grade spot) — corroboration	$3.777 /gal	6 Jul (weekly)	~+$0.84 (from ~$2.94, +29%)	Regular-grade spot; peak $4.50 (11 May). Pre-re-escalation print; will re-rate up with the crude bid.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war $3.52, peak $5.18, latest $4.44 — ticking back up); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~$2.94, peak $4.50, latest $3.777). The AAA line has turned up from its early-July low as the crude re-escalation feeds the pump with the usual refining/retail lag — the first uptick since the May peak.

Strait operational state

Indicator	Current reading	Source
Strait near standstill	Traffic came to a “near standstill” after the US struck Iran for a second straight day; the US-backed Omani corridor was empty of observable traffic, with only a few vessels on the Iran-controlled lane (ship-tracking).	Bloomberg / LSEG
US strikes — second night	CENTCOM conducted an “additional round” of strikes on 9 Jul to degrade Iran's ability to attack shipping, after ~80 targets (incl. 60+ IRGC boats) on 8 Jul. Trump: further attacks “will get much worse.”	CENTCOM / RFE-RL
Iran retaliation	The IRGC said it targeted a US-forces base in Jordan; Jordan intercepted eight Iranian missiles on 9 Jul. Qalibaf (chief negotiator): “if you strike, you'll get hit”; the strait open only “under Iranian arrangements.”	RFE-RL / Jordan military
MoU collapsing; talks stalled	Washington and Tehran trade accusations over the ceasefire's collapse; Araghchi warned against US “adventurism” in calls with Pakistan/Oman/Turkey mediators. The 60-day MoU is unraveling.	RFE-RL / Iran MFA
Market divergence	Despite the two-way strikes, Brent eased to ~$76, MOVE fell to 68.89 and VIX to 15.84 — the market prices containment and leans on the OPEC+ glut and alternative pipelines (Saudi Red Sea, UAE Fujairah).	Bloomberg
Macro overlay	The 30Y holds above 5.00% on term premium but bond vol eased; the dollar is ~100.8. The 17 Jun hawkish FOMC still frames policy.	Bloomberg / Fed

2 · US economic shock — analysis with bond yields

The US economic shock rises to **23/30**, deeper into the crisis band, as the strait effectively re-closes (maritime to 5) amid a two-way US–Iran exchange (escalation holds 5). The defining feature is the split between the geopolitical channels — now at their most severe since the active-war phase — and the market channels, which are easing: oil off its high, bond vol and forward inflation falling, equity vol subdued. Markets are pricing containment; the physical crisis is not. No Stage-4 signal yet, and the Treasury →5 leg has receded.

2.1 · Bond-yield transmission

10 Jul yields are intraday; d/d vs 9 Jul close, w/w vs 3 Jul. **Maritime 4→5; escalation holds 5; score 22→23.** Strikingly, the long end EASED (30Y –0.7 bp to 5.06%) and MOVE fell to 68.89 as the conflict intensified — the bond market is treating the shock as growth-negative and contained, not inflationary. Brent held ~$76.

(i) Inflation anchor — below 2.20%; held at 3. 5Y5Y forward at 2.18% stayed below the 2.20% upgrade line even through the two-way strikes; 10Y breakeven 2.25% is near pre-war. The market reads the oil shock as demand-destructive rather than a durable inflation impulse. US-inflation holds at 3.

(ii) Long-end — above 5.00% but vol receding; Treasury Fed-pinned at 4. 30Y at 5.06% holds the price leg of the →5 trigger, but MOVE fell to 68.89 (from 72.41) — the vol leg (>75) has moved further away. An orderly, if elevated, term-premium level. 10Y at 4.55% is 10 bp below the 4.65% trigger. The →5 has receded.

(iii) Oil — off the high; held at 2. Closes 8 Jul $77.57, 9 Jul $76.20; 10 Jul intraday $76.10; WTI $71.83. Despite the strait near standstill, Brent eased — the OPEC+ glut, spare capacity and the Saudi/UAE bypass pipelines cap the premium at ~$3.6/bbl. Oil holds at 2; a sustained rally toward $95 (a prolonged full cutoff) takes it to 3; a mediated pause reverses it toward pre-war.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. The long end is above 5.00% but bond vol receded, so Threshold B cooled from yesterday.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y at 5.06%, the next long-bond auction is a live test if the term-premium rise resumes.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. On watch (cooled). 30Y 5.06% is 14 bp below the 5.20% trigger; 10Y 4.55% is 10 bp below 4.65%. Both eased slightly.

Threshold C · MOVE above 130. Receding. MOVE 68.89 fell back; VIX 15.84. Bond vol turned down even as the conflict escalated — far below Stage-4 levels.

2.3 · Cross-asset

This edition's signature is the widening gap between the physical crisis and the financial one. The strait is effectively re-closed and the US and Iran are trading strikes — the maritime and escalation channels are maxed — yet oil eased, breakevens are below pre-war, bond vol and equity vol fell, and the dollar slipped. The market's implicit bet is that the strikes degrade Iran's attack capacity and that the glut plus bypass pipelines cushion the physical disruption, so the episode stays contained short of a sustained supply cutoff. The risk is that this proves complacent: if the standstill persists or the conflict widens, oil re-rates toward $95 (oil to 3) and bond vol re-spikes (Treasury to 5). Gasoline has already turned up (AAA $4.44), the first pump-price uptick since May.

3 · Shock score

Total: **23/30 — CRISIS band.** Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	**UPGRADED 4→5.** Traffic at a “near standstill” (Bloomberg) after the second night of US strikes — the US-backed Omani corridor empty, only a few vessels on the Iran-controlled lane. An effective re-closure of the strait.	↑ already at max (sustained full closure / blockade). ↓ traffic >25% normal for 10 sessions (verified mine-free) → to 3–4.
Oil price shock	2/5	**Held at 2.** Brent $76.10 (+$3.6 premium), OFF the $78 high despite the standstill — the OPEC+ glut, spare capacity and Saudi/UAE bypass pipelines cap it. WTI $71.83. Below the $95 trigger.	↑ Brent >$95 sustained (prolonged full cutoff) → to 3. ↓ mediated pause + close back at/below the $72.48 anchor → to 1.
US inflation impulse	3/5	**Held at 3.** 5Y5Y 2.18% stayed below the 2.20% line through the strikes — a growth-negative read; 10Y BE 2.25% near pre-war.	↑ 5Y5Y sustained >2.20% → to 4. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 2.
Treasury stress	4/5	**Held at 4 — →5 receded.** 30Y 5.06% holds the price leg, but MOVE FELL to 68.89 (from 72.41), moving away from the 75 vol leg. Elevated but orderly term premium, not funding stress.	↑ 30Y close >5.00% with MOVE >75 → to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	**Held at 4.** Scored on AUTMUSAG (AAA pump): $4.44 (8 Jul), ticked UP from $4.38 as crude feeds the pump — still below the $4.75 threshold. The DOE spot ($3.777) will re-rate up with a lag.	↑ gasoline >$4.75 sustained → to 5. ↓ toward the $3.52 pre-war level → to 3.
Escalation risk	5/5	**Held at 5.** Intensified, not faded: US strikes on Iran a second straight night, Iran's 8-missile attack on a US base in Jordan, Trump's “much worse” warning, and a collapsing MoU with stalled talks. Active two-way conflict.	↑ already at max (sustained war). ↓ mediated stand-down + talks resume → back to 4–3.
TOTAL	23/30	**CRISIS band — 22→23.** The strait effectively re-closed (maritime to 5) amid a two-way exchange (escalation 5). The market channels diverge — oil off its high, bond vol receding — pricing containment. The swing is full war (oil →3, Treasury →5) vs. a mediated pause.	

4 · What's changed since the last edition (9 Jul → 10 Jul AM)

Score rises to 23/30. Maritime upgraded 4→5 (effective re-closure); escalation holds 5 (intensified). Source: Bloomberg / RFE-RL / CENTCOM.

Strait near standstill. Traffic collapsed after the second night of US strikes; the Omani corridor is empty. Maritime to 5. Source: Bloomberg / LSEG.

Conflict intensified. US strikes on Iran a second night; Iran fired 8 missiles at a US base in Jordan (intercepted); the MoU is collapsing. Escalation holds 5. Source: RFE-RL / CENTCOM.

Markets diverged — the key tell. Despite the strikes, Brent eased to ~$76, MOVE fell to 68.89 (Treasury →5 receded), VIX to 15.84, 5Y5Y below 2.20%. Oil holds 2, Treasury 4, US-inflation 3. Source: Bloomberg.

Gasoline turned up; Asia LNG climbing. AAA gasoline ticked up to $4.44 (first uptick since May, crude feeding through); Asia LNG ¥2,834 (+70%) on the LNG-tanker exposure. Source: AAA / Bloomberg.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Mediated pause — exchange halts, strait reopens	18%	Pakistan/Oman/Turkey broker a halt; the US and Iran stand down again, the strait reopens and traffic rebuilds. The de-escalation resumes.	Brent $68–78; 30Y 4.8–5.05%; MOVE <70; score falls back toward the systemic-risk band.
Slow / partial — contained but violent	28%	The exchange burns out into a low-grade, on-off conflict — sporadic strikes, an Iran-controlled strait, escort-only traffic — without full-scale war. Market containment holds.	Brent $74–90; yields firm; risk premium ~$4–10/bbl; maritime 4–5, escalation 4–5.
Implementation breakdown / no deal	17%	The MoU formally lapses; sanctions harden, the strait stays Iran-controlled and largely shut, but without a wider war.	Brent $88–104; 30Y >5.20%; risk premium $12–20/bbl; Treasury to 5, oil to 3; score 24–26.
Return to full war	33%	The two-way strikes spiral — sustained US strikes, Iranian attacks on bases/shipping, a formal strait closure. The single most likely path after two nights of strikes.	Brent $100–135; 10Y >4.65%; 30Y >5.20%; risk-off; score 25–28.
Major regional relapse	4%	Multi-front war with Gulf infrastructure hit and the strait sealed. Tail risk, raised on the escalation.	Brent $150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 9 Jul edition: mediated-pause/de-escalation –12 (30→18), slow/partial –6 (34→28), implementation-breakdown +2 (15→17), return-to-war +15 (18→33), regional relapse +1 (3→4). Driver: the second night of US strikes, Iran's attack on a US base and the strait's near standstill push weight decisively into the return-to-war and breakdown tails; the still-active mediation (Pakistan/Oman/Turkey) and the market's containment bet keep a bounded outcome plausible. The market channels (oil off its high, bond vol receding) are the counter-signal to watch.

6 · Watchlist · next 24–72 hours

Full war vs. mediated pause — the swing. After two nights of US strikes and Iran's Jordan base attack, whether the exchange spirals into a sustained campaign (score 25+) or Pakistan/Oman/Turkey broker a stand-down (escalation back to 4–3, strait reopens).

Strait traffic — does the standstill hold. Ship-tracking of the Omani vs Iran-controlled lanes; a sustained near-zero keeps maritime at 5, a reopening eases it. Watch war-risk insurance.

Oil divergence — oil to 3. Brent $76 despite the standstill; if the cutoff persists or the war widens and Brent breaks $95, oil 2→3. The market's containment bet is the key risk.

Treasury →5 (receded). 30Y 5.06% but MOVE fell to 68.89; a renewed bond-vol spike (MOVE >75) with the 30Y above 5.00% would take Treasury 4→5. The next long-bond auction and CPI are catalysts.

Iran's next move. Whether Iran escalates further (more missiles, mining, Gulf-infrastructure strikes) or holds after the Jordan attack — the primary driver of the return-to-war path.

Gasoline / political →5. AAA turned up to $4.44; a sustained move back above $4.75 (as the crude bid feeds through) would take political-stress 4→5.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO2/CL2 Comdty (Brent/WTI front-month); NGA/TZTA/JGLA Comdty (JGLA / Asia LNG now pulled fresh each edition); USGG2YR/5YR/10YR/20YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (AAA pump — score reference) and USRFRUSA (DOE regular spot, weekly — corroboration).

Tier 1 — news and institutional. Bloomberg, RFE/RL, CENTCOM, Reuters, NPR, CBS, LSEG; US Treasury/OFAC, Jordan military, Iran MFA, Federal Reserve. The second night of US strikes, Iran's 8-missile attack on a US base in Jordan, the strait's "near standstill," the MoU collapse and the oil/bond-vol divergence via Bloomberg / RFE-RL / CENTCOM.

Tier 3 — state media (labelled). Iranian statements (Qalibaf's "if you strike, you'll get hit," Araghchi's "adventurism" warning, IRGC's Jordan-base claim, "Iranian arrangements" routing) are labelled and corroborated against Bloomberg / RFE-RL / Reuters; IRNA, Tasnim, Mehr, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (9 Jul); re-map columns via the robust scan (oil front-month CO2/CL2; both gasoline series; JGLA/Asia LNG pulled fresh; DXY col98).
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 3 Jul this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market channels move on a confirmed close (oil held 2; Treasury held 4 as MOVE fell). Escalation-risk is event-based, held at 5; maritime upgraded 4→5 on the near-standstill (effective re-closure).
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 9 Jul close came off my oil intraday high by $2.14, and MOVE fell to 68.89 — the market consolidated as the conflict intensified).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with full-war-vs-mediated-pause, the strait standstill, the oil divergence (→3) and the Treasury →5 line.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger — this edition oil held at 2 and Treasury held at 4 (the 30Y stays >5.00% but MOVE fell below the 75 leg). Escalation-risk is event-based, held at 5 (intensifying two-way conflict); maritime upgraded 4→5 on the effective re-closure (traffic near standstill). A hawkish FOMC still frames the Treasury channel.

Gasoline series. Political-stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war $3.52, peak $5.18, latest $4.44 — now ticking up) for continuity. USRFRUSA (DOE regular-grade retail spot; pre-war ~$2.94, peak $4.50, latest $3.777) is tracked alongside. Both will re-rate up as the crude bid feeds through. See the chart in section 1.

Pre-war anchor (27 Feb 2026 close). Brent $72.48; WTI $67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) $3.52; Henry Hub $3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent is well above pre-war (+5.0%), WTI +7.2%, Asia LNG +70%; the long end (30Y >5.00%) sits above; 5Y5Y (+4 bp) is above but below the 2.20% line; 10Y breakevens, MOVE and VIX are near/below pre-war — the market's containment signal.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close (the 9 Jul close came off my oil intraday high by $2.14 as the market consolidated). Market-channel triggers are evaluated on confirmed closes; escalation-risk is event-based. JGLA / Asia LNG is now pulled fresh each edition (correcting a prior stale carry). Absolute levels use the restated continuation series and are not directly comparable with pre-restatement editions, though the directional analysis is continuous.